

MG'S GAME PLAN

	Investment (₹ crore)	Yearly sales (Units)	Yearly capacity (Units)	EVs' share of total sales (%)
2017-22	4,000	48,000	70,000	12
2023-25	NA	100,000	120,000	30-35
2026-28	5,000	120,000+	300,000	65-75

SOURCE Company

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ment introduced a host of measures against Chinese businesses—the banning of Chinese mobile apps was emblematic of this. That adverse climate also extended to investments into automotive firms. The most significant casualty was Great Wall Motor, which exited the Indian market in 2022, just two years after its launch, citing its inability to garner foreign direct investment as a reason.

“In the passenger vehicles industry, no approvals have been given in recent times to Chinese investments. Even the local auto industry lobby is against a free run for Chinese automakers. Thus, it was only prudent for MG to look for Indian partners,” says a senior automotive industry executive.

According to industry experts, MG's move to localise is more a compulsion than a voluntary exercise. “In India, MG Motor is the established Chinese-owned passenger vehicles maker. But the

developments between India and China since the Covid-19 pandemic's outbreak have [created] an anti-China sentiment. The government is increasingly turning the heat on fully-owned Chinese entities and wants them to have Indian partners holding a majority,” Manish Raj Singhania, President of the Federation of Automobile Dealers Associations (FADA), tells *BT*.

MG Motor received an additional blow in the form of a notice from the Registrar of Companies under the Ministry of Corporate Affairs in 2022, summoning its top brass, citing irregularities in its financials.

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The company though is firm in its commitment to the Indian market, and Chaba and his team have drawn up a plan to not just help the firm survive in the world's fourth largest passenger vehicles market, but also grab a larger share of the pie.

“We plan to dilute our share-

holding [with the] majority to be owned by Indians within two-four years. The second phase involves expanding our capacity with a new plant. While we have a capacity of 120,000 units a year at our existing plant in Halol (Gujarat), it will [be] exhausted soon. Thus, we plan to set up a second plant at the same location with an additional capacity of 180,000 units a year,” says Chaba, now CEO Emeritus of MG Motor India. He adds that MG will invest “at least ₹5,000 crore” that it estimates to receive from the stake sale.

Given the growth MG has seen, the expansion is a necessity, feels Chaba. In FY23, the company sold 48,866 passenger cars—21 per cent more than the 40,369 units sold the previous year and more than double the 21,954 units it sold in FY20, the first full year of operations. Chaba now estimates that it will clock sales of over 70,000 units in FY24.

According to MG, its indigenisation plan involves complete locali-

‘AS A GLOBAL LEADER IN EVs, WE WOULD DEFINITELY LIKE TO GRAB A LARGER SHARE OF THE INDIA MARKET AND WE WILL LAUNCH MORE MODELS’

SANJAY GOPALAKRISHNAN

SENIOR VICE PRESIDENT-EPV BUSINESS, BYD INDIA